A COLLECTION OF SHORT NOTES | DERIVED FROM RESEARCH AND READINGS | 28 JULY 2026

The Future Has a Balance Sheet

Seven notes on AI, private credit, hard assets and the strange accounting of progress.

THE OPENING THOUGHT

The future is arriving quickly, but not on a cloud. It is being assembled from copper, power, clever software, long-lived promises and a great deal of borrowed money. These readings ask us to enjoy the promise while checking the wiring.

2030	16.6x	34.8%	~5bn
The horizon running through the source readings	Leverage cited for one captive reinsurer structure	July Brent rebound cited by 13D from its test area	Consumers highlighted in one long-run commodity argument

The source material is a conversation between optimism and suspicion. It sees extraordinary advances in AI and science, more demand for the physical world that supports them, and a financial system that may be hiding too much risk in its enthusiasm to fund the build-out. These notes are a reading guide to that argument - a small collection, not a forecast machine.

Facts, figures and forecasts remain attributed to the source material. The prose is an editorial synthesis and not independent verification, personalised investment advice or a recommendation to buy or sell any asset.

EXECUTIVE SUMMARY

The short version

The reading set supports constructive caution. Progress in AI, science and industrial technology may be genuine and economically important. Yet the path from invention to investor return runs through power, materials, debt, leases, insurers and the availability of patient capital. The best posture is neither blind enthusiasm nor permanent gloom: own the enablers of progress, be demanding about funding structures, and retain exposure to real assets and liquidity when the financial plumbing becomes the story.

AI is a technological opportunity and a capital-allocation test.
The important question is no longer simply whether models improve. It is who earns a durable return after the data centre, chip, power and lease bills arrive.

Private credit and insurance deserve more daylight.
The sources describe how opaque assets, affiliated reinsurers and leverage can shift risk far from the investor who thinks they own something simple.

Scarcity is the counterweight to digital abundance.
Energy, copper, gold, silver and reliable infrastructure can matter precisely because they cannot be produced as quickly as an ambitious slide deck.

Each note carries one idea, one tension and one question into the next page. Read them in sequence, or start with the one that makes you mildly uncomfortable. That is often where the good reading begins.

A MAP BEFORE THE WALK

Contents

Seven short pieces drawn from the supplied research and readings.

01	**The future is dazzling. The financing is not.** The three source readings do not disagree about whether the world is changing. They disagree, more usefully, about the bill that arrives with the change.
02	**When insurance becomes the drawer for difficult assets** The most unsettling part of the offshore-insurer story is not that risk exists. It is that the system may make risk look tidier as it grows.
03	**Hyperscalers meet the captive reinsurer** AI appears as software on a screen. Somewhere below the screen are servers, leases, chips, power contracts and people deciding where to park the debt.
04	**The real-asset argument is about bottlenecks** The bullish commodity case is not simply a wager on prices. It is an argument that the things required by the future are difficult to summon on command.
05	**The awkward persistence of the monetary question** Every century finds a sophisticated way to say that borrowing is fine. Eventually the bond market asks whether the adjective has changed the noun.
06	**Aging may be a productivity story in disguise** A shrinking worker base is not good news. It is, however, a powerful reason to care about tools that let one capable person do more.
07	**Own the promise, insure the plumbing** The aim is not to choose between tomorrow and caution. It is to avoid financing tomorrow with a portfolio that can only survive one very specific version of it.

NOTE 01 | TWO FUTURES AT THE SAME TABLE

The future is dazzling. The financing is not.

The three source readings do not disagree about whether the world is changing. They disagree, more usefully, about the bill that arrives with the change.

Bits & Pieces looks towards 2030 and sees a thrilling catalogue: scientific AI, robotics, longevity, energy breakthroughs, advanced manufacturing and a much richer menu of technological possibility. That is the optimistic ledger. It is not a silly ledger. Better tools can genuinely speed discovery, reduce costs and make some old constraints feel negotiable.

The darker ledger is full of old debt, high rates, hidden leverage and institutions finding creative ways to move risk just beyond the lamplight. The Burry reading follows the trail through private credit, private-equity-owned insurers and offshore reinsurers. 13D looks at the same broad world and sees the physical claim beneath it: energy, copper, gold and silver may be preparing to matter much more.

This is a useful starting point for an investor. A genuine technological revolution can occur at the same time as an overextended financing structure. The former does not cancel the latter. History has been remarkably capable of serving both courses at once.

> *"The future can be extraordinary and still require very ordinary arithmetic."*

The organising thought
Own the possibility that productivity accelerates; respect the possibility that capital costs, leverage and physical scarcity decide who captures the gain.

Source trail: CLSA Bits & Pieces, 24 July 2026; 13D Research & Strategy, 26 July 2026; Michael Burry Short Thoughts, 24-25 July 2026.

NOTE 02 | THE FLYWHEEL WITH A TRAPDOOR

When insurance becomes the drawer for difficult assets

The most unsettling part of the offshore-insurer story is not that risk exists. It is that the system may make risk look tidier as it grows.

The supplied Burry reading, drawing on an academic paper by Andrew Granato and Pranjal Drall, describes a structure in which private-equity groups own life insurers, place opaque private-credit assets on their balance sheets and transfer liabilities to affiliated, more lightly regulated reinsurers. The attraction is obvious: long-dated insurance liabilities can support a steady, fee-generating investment machine.

The concern is less cinematic but more important. Related parties may have incentives to shift the assets that are hardest to value to an insurer, to use captive reinsurers to soften capital pressure and to collect fees before the eventual credit outcome is known. If the insurer later fails, state guaranty funds step in. The source argues that tax treatment can ultimately create a public backstop behind what looks like a private arrangement.

The word to keep is not fraud; the documents do not establish that. It is opacity. A balance sheet can have a respectable credit rating while becoming more concentrated, illiquid and difficult for outsiders to understand. That is not a prediction of failure. It is a request to be suspicious of smoothness.

> *"A flywheel is elegant until one notices who is standing beneath it."*

The risk to watch
Private credit held through insurer and affiliate networks can combine valuation uncertainty, duration mismatch and leverage. None needs to fail alone for the system to become fragile.

Source trail: Michael Burry, Short Thoughts: Offshore Insurers, Meet the Hyperscalers; Granato and Drall paper as cited in that source.

Hyperscalers meet the captive reinsurer

AI appears as software on a screen. Somewhere below the screen are servers, leases, chips, power contracts and people deciding where to park the debt.

The Burry reading links the private-credit and insurer ecosystem to the data-centre build-out. Data-centre, chip and software loans can be funded through arrangements that move leverage away from the cleanest-looking corporate balance sheet. The cited examples are deliberately provocative, but the basic question is entirely fair: how much of the AI boom is paid for by current cash flow, and how much is a promise that future users will eventually make the machinery worthwhile?

This does not make every data centre a bubble. The facilities may be indispensable, and the demand may remain robust. The danger is the old one: an excellent asset financed in a way that assumes conditions will remain excellent. Higher rates, lower utilisation, price competition or an ordinary recession can turn a generous future estimate into an awkward present obligation.

The neat intellectual connection is that AI and shadow finance are not separate dinner parties. The physical build-out needs capital; private credit wants assets; insurers want yield. A system can become self-reinforcing while it is healthy and self-questioning only after the music slows.

> *"The cloud is not weightless. It is steel, electricity and somebody else's future cash flow."*

A better earnings-call question
Ask about lease commitments, financing partners, utilisation, depreciation, refinancing needs and what happens if revenue grows more slowly than the construction schedule.

Source trail: Michael Burry, Short Thoughts: Offshore Insurers, Meet the Hyperscalers, 24-25 July 2026.

The real-asset argument is about bottlenecks

The bullish commodity case is not simply a wager on prices. It is an argument that the things required by the future are difficult to summon on command.

13D sees potentially important technical set-ups in energy equities, copper miners, gold miners and silver. Technical analysis is a language of probabilities, not a royal decree. Still, its broader point travels: the energy transition, data centres, electrification, defence and a more fragmented supply chain all demand physical inputs, and new supply takes geological time rather than software time.

Bits & Pieces makes a similar point from a longer horizon. More consumers, more electricity demand and more capital-intensive technology can raise the strategic importance of commodities. Copper does not appear because a government announces a target. Oil and gas infrastructure does not rebuild itself from a PowerPoint. Mining projects have permits, politics, water, equipment and a deep affection for delays.

That is why commodity exposure is not merely an inflation hedge in this reading. It is a participation in the physical constraint beneath digital abundance. The better question is not whether every commodity rallies together. It is which scarce input is being quietly asked to do a job that no one has funded it to do.

> *"By the time a bottleneck is fashionable, it has usually been difficult for years."*

Source highlights

13D flags a possible multi-decade base in Brent, a constructive set-up in energy equities and a potential new leg for copper miners. These remain technical views, not verified outcomes.

Source trail: 13D Research & Strategy, What Are the Markets Telling Us?, 26 July 2026; CLSA Bits & Pieces, 24 July 2026.

NOTE 05 | OLD DEBT, HARD MONEY

The awkward persistence of the monetary question

Every century finds a sophisticated way to say that borrowing is fine. Eventually the bond market asks whether the adjective has changed the noun.

Bits & Pieces worries that population ageing, fiscal deficits and monetary debasement are making the future more inflation-sensitive. Its language is deliberately vivid - at one point it asks whether we are moving towards a crack-up boom - but the underlying tension is familiar: large government obligations are easier to service when money is cheap, growth is strong or inflation does some of the unpleasant work.

The Burry reading makes the rate channel more immediate. It identifies higher-for-longer yields as a possible catalyst for pressure in private credit, private equity and the insurer complex because a great deal of lending is floating-rate or otherwise exposed to refinancing. 13D adds the market expression: gold and silver can benefit when confidence in paper claims becomes less automatic.

None of this requires a dramatic currency collapse to matter. A world of higher nominal yields and more cautious lenders is enough to change valuation, financing and asset preference. Gold is not an operating business. Yet in a debate about the credibility of financial promises, that may be exactly its point.

> *"A hard asset is not a prophecy of disaster. It is a refusal to make every promise on paper."*

Keep the distinction
Gold, energy and commodity equities can be volatile and cyclical. Their role is diversification against a particular macro problem, not proof that the macro problem arrives next Tuesday.

Source trail: CLSA Bits & Pieces, 24 July 2026; 13D Research & Strategy, 26 July 2026; Michael Burry Short Thoughts, 24-25 July 2026.

NOTE 06 | THE AGE OF THE ROBOT AND THE ELDER

Aging may be a productivity story in disguise

A shrinking worker base is not good news. It is, however, a powerful reason to care about tools that let one capable person do more.

Bits & Pieces places demographics at the centre of the 2030 story: fewer workers supporting more older people, an engine that needs repair rather than just more fuel. Its optimistic reply is robotics, AI-assisted science, automation, new materials and perhaps healthier, longer working lives. The future may need a lot of robots, but it may also need much better ways of using human judgment.

The hopeful version is not that software replaces everyone. It is that the most repetitive parts of research, design, administration and production become cheaper, leaving people to supervise, decide and imagine. Scientific AI is especially interesting here: a tool that can search literature, simulate outcomes and propose hypotheses could compress the distance between question and experiment.

Investors should still separate social possibility from investable profit. A productivity revolution can be broadly beneficial while value accrues unevenly. The likely beneficiaries may include power, compute, automation, industrial equipment and firms that solve difficult workflows, rather than every business with an AI label stapled to its forehead.

> *"The most useful robot may not replace the worker. It may give the worker a larger world to manage."*

The sober optimism

AI-assisted discovery and automation are long-run possibilities. The report treats them as themes to understand, not near-term earnings forecasts.

Source trail: CLSA Bits & Pieces, Time Flies, 24 July 2026.

Own the promise, insure the plumbing

The aim is not to choose between tomorrow and caution. It is to avoid financing tomorrow with a portfolio that can only survive one very specific version of it.

Taken together, the readings argue for a barbell of temperament more than a rigid asset allocation. One side owns the plausible engines of the 2030s: automation, scientific AI, infrastructure, power, selected industrial technology and the companies that make a more productive economy possible. The other side respects the plumbing: cash flow, balance-sheet resilience, energy, metals, gold and a willingness to leave some liquidity unspent.

What to resist is the seductive middle ground where every exciting project is financed by a structure that nobody can easily explain. The issue is not that leverage is immoral. It is that leverage is impatient. It turns a long-term thesis into a short-term test of funding conditions, which is a rather unfair way to treat a good idea.

The title of this collection is deliberately plain. The future has a balance sheet. So does the investor. The trick is to have enough exposure to the upside that progress matters, and enough humility about the downside that progress is still yours to enjoy when it arrives.

> *"The mature form of optimism is to be excited about the future without handing it the keys to the treasury."*

> **The short version**
> Prefer transparent cash flows and resilient funding; treat real assets as diversification; pursue technology through the enablers as well as the stories; and keep enough liquidity to make good decisions slowly.

Source trail: Editorial synthesis of the three supplied readings.

NOTES ON SOURCES

Source notes

This collection is based on the three supplied reports. It does not independently verify every number, chart interpretation, forecast or cited claim. Forecasts and scenario views remain those of the original authors.

Source material used

CLSA, *Bits & Pieces: Time Flies*, 24 July 2026; 13D Research & Strategy, *What Are the Markets Telling Us?*, 26 July 2026; Michael Burry, *Short Thoughts: Offshore Insurers, Meet the Hyperscalers*, published 25 July 2026, including its discussion of an academic paper by Andrew Granato and Pranjal Drall.

Not investment advice

This is a reading guide, not a recommendation to buy, sell or hold any asset. It does not take account of individual objectives, circumstances or tolerance for risk.

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